Alfido Tech

Customer Segmentation & Churn Risk Report

Transaction & behavioral analysis of 250,000 orders across 49,673 customers (Jan 2020 – Sep 2023)

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Executive Summary

Alfido Tech's transaction history shows a stable but non-growing customer base: monthly revenue and active-customer counts are flat across nearly four years, and the steepest drop in engagement happens immediately after a customer's first purchase — retention falls from 100% to roughly 8–12% by month one and stays flat afterward. A seven-segment RFM (Recency, Frequency, Monetary) model finds that 17.6% of customers (“Champions”) generate 27.9% of revenue, while the two weakest segments — Hibernating/Lost and At Risk (High Value) — together hold 26.4% of customers and $137.5M of historical revenue that is going cold. Notably, the dataset's own **Churn** flag does not track purchase behavior (it sits at ~19–21% in every segment), so it should not be used on its own as a retention-targeting signal — RFM recency is the more reliable proxy. This report profiles each segment and closes with five prioritized recommendations.

Data Overview

250,000 transaction line items were analyzed after cleaning: dates parsed, an exact duplicate column (Age = Customer Age) removed, and the **Returns** field's missing values (19.0% of rows) treated as “no return recorded” with an audit flag retained. No rows had non-positive price/quantity or unparseable dates, so no records were dropped on data-quality grounds.

Metric	Value
Transaction rows	250,000
Unique customers	49,673
Date range	2020-01-01 to 2023-09-15
Avg. order value	$2,725.37
Product categories	Books, Clothing, Electronics, Home
Payment methods	Credit Card, PayPal, Cash, Crypto
Missing data	Returns field: 19.0% (imputed as 0, flagged)

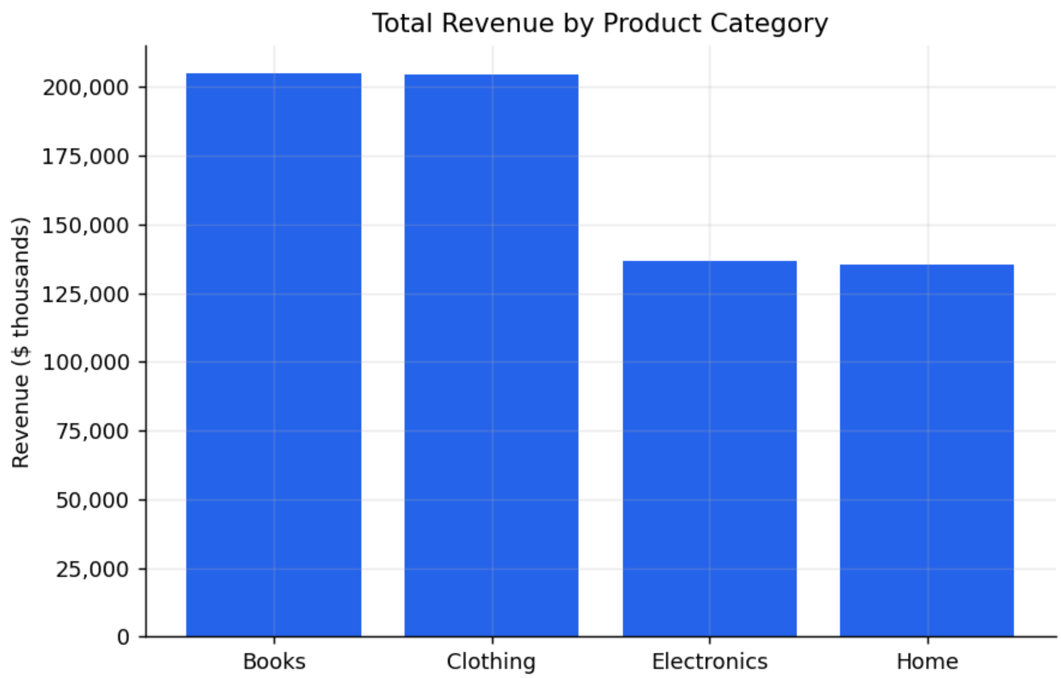

Figure 1. Revenue is broadly balanced across categories; Books and Clothing lead narrowly.

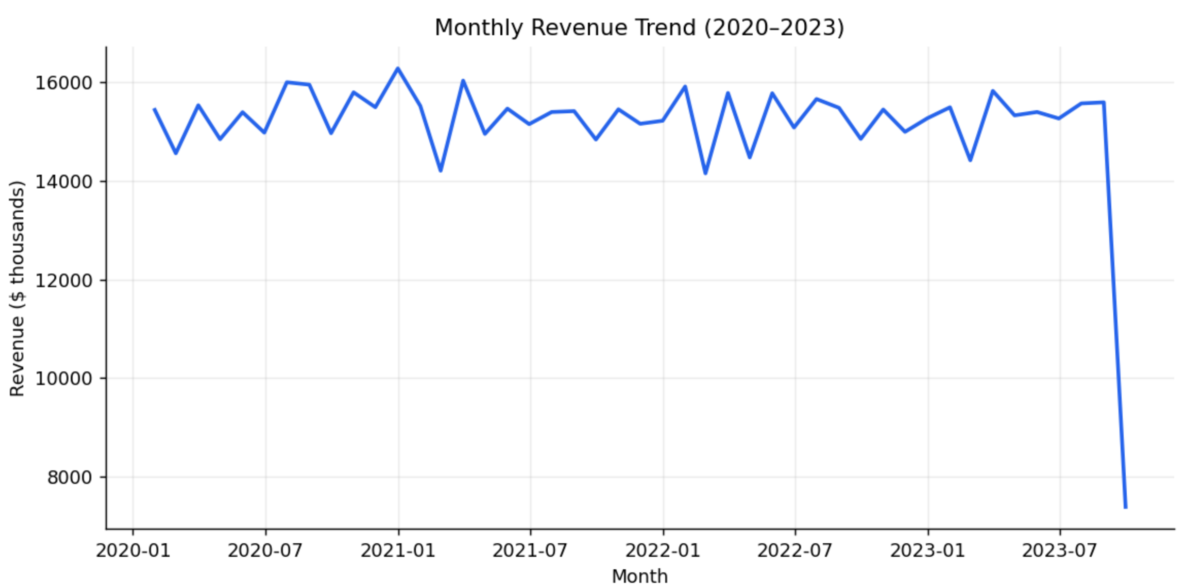

Figure 2. Monthly revenue is flat over the full period — no organic growth trend.

Customer Segmentation (RFM)

Each customer was scored on Recency (days since last order), Frequency (order count), and Monetary (total spend) using quintiles, then assigned to one of seven behavioral segments using simple, transparent business rules — a rule-based approach that is easy for any team to audit and apply consistently going forward.

Segment	Customers	% Cust.	Avg. Spend	% Revenue	Avg. Recency (days)
Champions	8,739	17.6%	$21,785	27.9%	61
Loyal Customers	9,957	20.0%	$16,787	24.5%	134
Potential Loyalist	8,651	17.4%	$12,316	15.6%	366
At Risk (High Value)	3,759	7.6%	$20,455	11.3%	382
Hibernating / Lost	9,339	18.8%	$6,488	8.9%	580
New / Promising	5,403	10.9%	$8,802	7.0%	68
Needs Attention	3,825	7.7%	$8,426	4.7%	190

Segment Profiles

Champions. Recent, frequent, high-spend. The core of the business — protect and reward them.

Loyal Customers. Strong repeat buyers just below Champions on recency or spend. Prime upsell audience.

At Risk (High Value). Historically high spenders who have gone quiet (avg. 382 days since last order). Highest-priority win-back target given their proven spend.

Hibernating / Lost. Low on all three RFM dimensions, inactive over a year on average. Largest segment by customer count but lowest revenue per customer; reactivate cheaply or deprioritize.

Potential Loyalist. Moderate recency/frequency; a nudge (bundle offer, loyalty enrollment) can move them up.

New / Promising. Recent first-time or early buyers with low order counts — the segment most exposed to the month-1 retention cliff described below.

Needs Attention. Middling on every metric with no clear direction; monitor for drift into Hibernating.

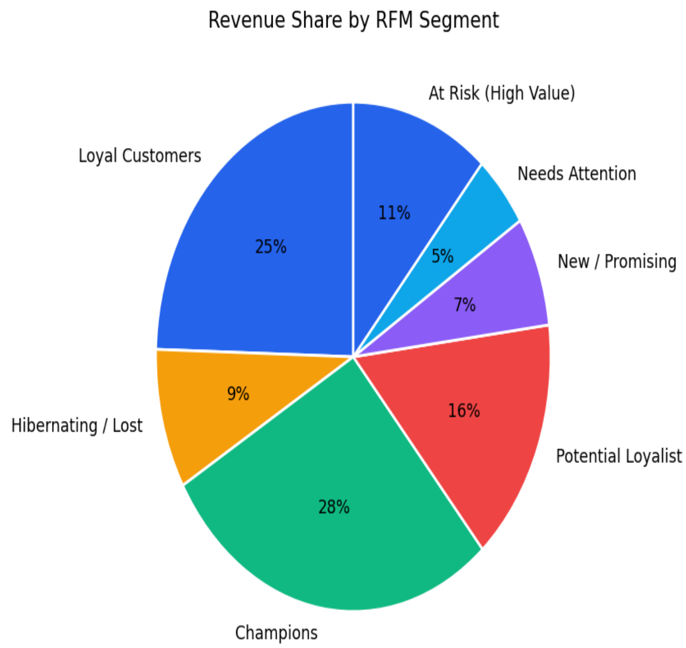

Figure 3. Champions and Loyal Customers together drive 52.4% of revenue from 37.6% of customers.

Purchase Patterns & Retention

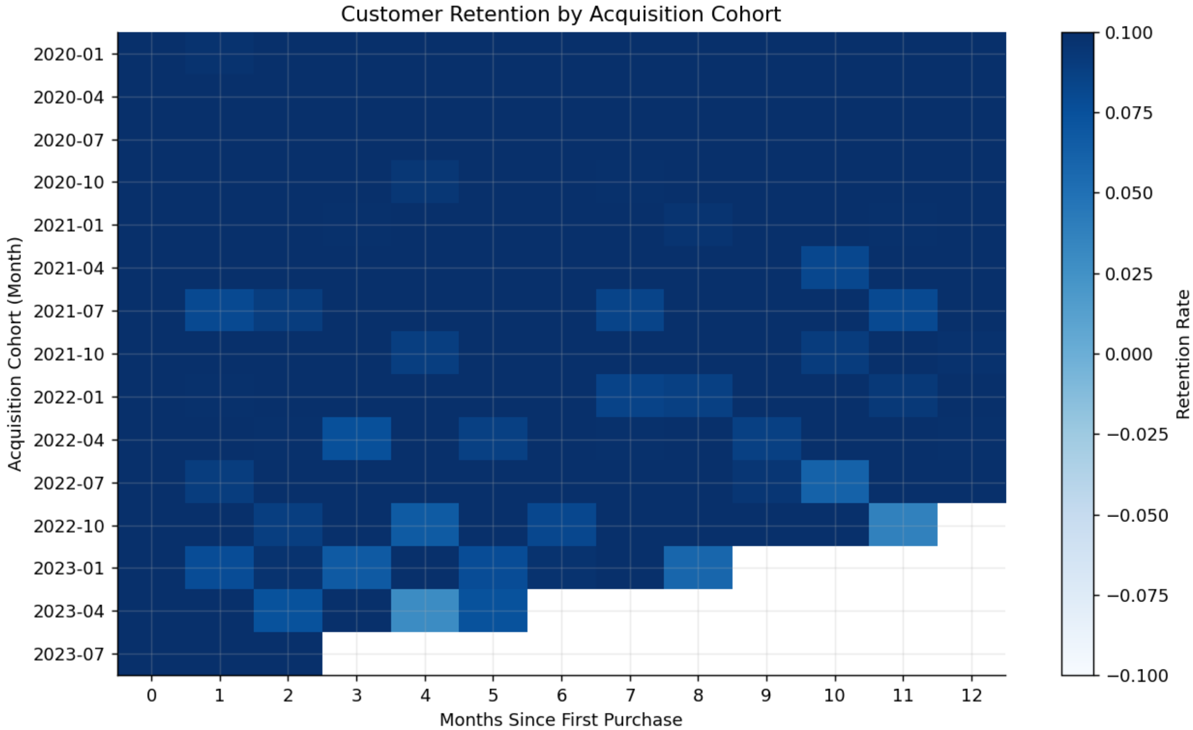

Figure 4. Cohort retention by acquisition month. Retention collapses from 100% (month 0, the acquisition month itself) to roughly 8–12% by month 1 and then stays flat — the drop-off is concentrated immediately after the first purchase, not gradual.

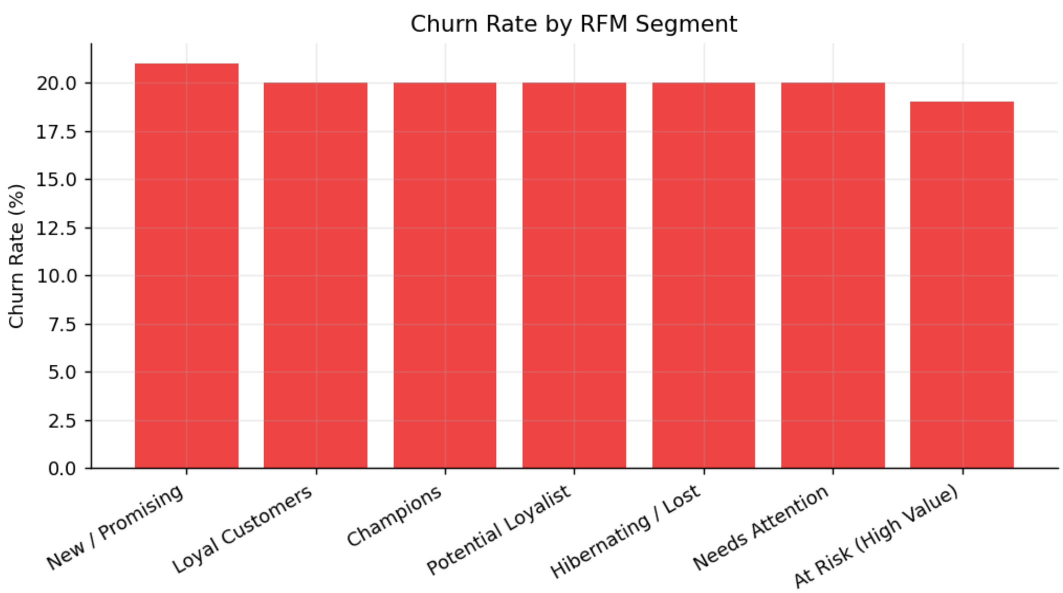

Figure 5. The provided Churn label is ~19–21% in every segment regardless of engagement level — it does not track RFM behavior and should be replaced with a recency-based risk score for targeting.

Recommendations

1. Fix the first-30-day drop-off

Launch an onboarding journey (email/SMS + a second-purchase incentive) timed to the month-1 window, where the data shows the steepest and most concentrated customer loss.

2. Win back At-Risk (High Value) customers

This segment has proven high spend ($20,455 average) but has gone quiet for a year on average. A personal outreach or well-timed discount here has outsized ROI versus a generic re-engagement blast.

3. Build a VIP tier for Champions and Loyal Customers

These two segments hold 52.4% of revenue from 37.6% of customers. Early access, free shipping, or loyalty points protect this concentrated revenue base.

4. Replace the Churn field with a recency-based risk score

The current label doesn't correlate with purchase behavior; an RFM- or recency-based score is a more actionable signal for retention dashboards and campaign targeting going forward.

5. Test cross-sell bundles for mid-tier segments

Encourage Needs Attention and Potential Loyalist customers toward multi-category purchases (e.g., Electronics + Home) to lift frequency and category diversity — both of which correlate with moving into higher-value segments.

Full code, additional visualizations, and the underlying data tables accompany this report as a Jupyter notebook, SQL script, and Excel workbook.